RBL Bank

March 1, 2019

DALAL & BROACHA
STOCK BROKING PVT. LTD.

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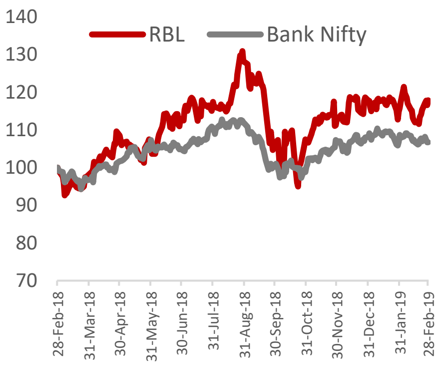
Initiating Coverage @ Dalal & Broacha

ACCUMULATE	
Current Price (Rs)	577
52 Week Range	652/438
Target Price (Rs)	636
Upside (%)	10

Key Share Data	
Market Cap (Rs.bn)	245.6
Market Cap (US$ mn)	3472
No of o/s shares (Cr)	42.54
Face Value	10
Monthly Avg. vol (BSE+NSE) Nos'000	1455
BSE Code	540065
NSE Code	RBLBANK
Bloomberg	RBK:IN

Price performance



% Shareholding	Dec-18	Sep-18
FII	15.9	17.6
DII	24.5	20.7
Others	59.5	61.8
Total	100	100

RBL bank is showing excellent performance in almost every parameter, including stable asset quality (**NNPA sub-one percent level for last fourteen quarters**), strong loan growth, healthy liability franchise and better margins (**reported NIM above 4%**). Bank's loan portfolio is well balanced, with Wholesale & Non-Wholesale mix stood at 57:43 for Q3FY19 (from 60:40 in Q3FY18). In order to improve its low-cost deposit base (CASA stood at 24.6%), bank is adding branches in metro & tier 1 cities, which contribute more than half of the countries' deposits. We expect total business to grow at CAGR of 30% in FY18-20E, with growth in advances and deposits at ~33% and ~28% respectively. In turn, this is expected to lead to NII/PPoP/PAT CAGR of 35.3%/34.7%/36.1% over FY18-20E.

Diversified loan book to sustain growth in various credit cycles: Bank's loan portfolio is diversified into four major segments, which includes C&IB (contributes 40% of loan portfolio/ includes companies with an annual turnover of over Rs 1500 Cr), Commercial Banking (contributes 17%/ includes mid-sized companies, SMEs), Retail Banking (contributes 29%/ includes Credit Card, LAP & Retail Agri) & DB&FI (contributes 14%/ includes Micro-banking, IFI & MSME).

Advances Mix shift to higher yielding assets (contribution of Card & MF portfolio up from 12.6% in Q3FY18 to 17.5% Q3FY19): Out of total loan portfolio, the share of Retail and DB & FI segments are continuously improving and might go upto 50% of the total loan portfolio in the next two to three years. In DB & FI segment, micro-finance business is growing very fast (46% YoY in Q3FY19), but bank makes sure that the risk is well balanced (geographical diversification with no state beyond 15% exposure). In Retail Assets, Card business is showing a massive growth, with the contribution to total loan portfolio increased from 4.8% in Q3FY18 to 9% in Q3FY19.

Asset Quality to Stabilize (mainly due to focus on shorter tenure loans & higher granularity in loan portfolio): Despite having strong loan growth over the past few years, bank has maintained stable asset quality, with gross NPA sub-two percent level, while Net NPA at the sub-one percent level. Bank has also maintained a healthy balance sheet, with superior risk management framework & focus on shorter tenure loans. Out of total loan book, 64% Advances having Tenor less than 1 year, 21% having Tenor between 1-3 years, 8% having Tenor between 3-5 years & reaming are having Tenor more than 5 years.

Outlook & Valuation: We expect the healthy traction in earnings to continue, going forward owing to robust growth in loan book, moderate credit cost and healthy margins. We expect total business to grow at CAGR 30% in FY18-20E, with growth in advances and deposits at ~33% and ~28% respectively. At CMP the stock trades at 3.5x its FY19E ABV & 3.1x its FY20E ABV. We maintain our **Accumulate** rating on the stock with P/ABV multiple of 3.4x on FY20E Adj. book value to arrive target price to Rs 636 per share.

Key Financials (Rs Cr)

Year	NII	Growth (%)	PPOP	Growth (%)	PAT	Growth (%)	BVPS	PB (X)	ROA
FY16	819	47	542	51	292	41	92	6.1	0.9
FY17	1221	49	920	70	446	53	116	4.9	1.0
FY18	1766	45	1331	45	635	42	159	3.5	1.1
FY19E	2444	38	1857	40	842	33	174	3.2	1.2
FY20E	3235	32	2415	30	1177	40	198	2.8	1.4

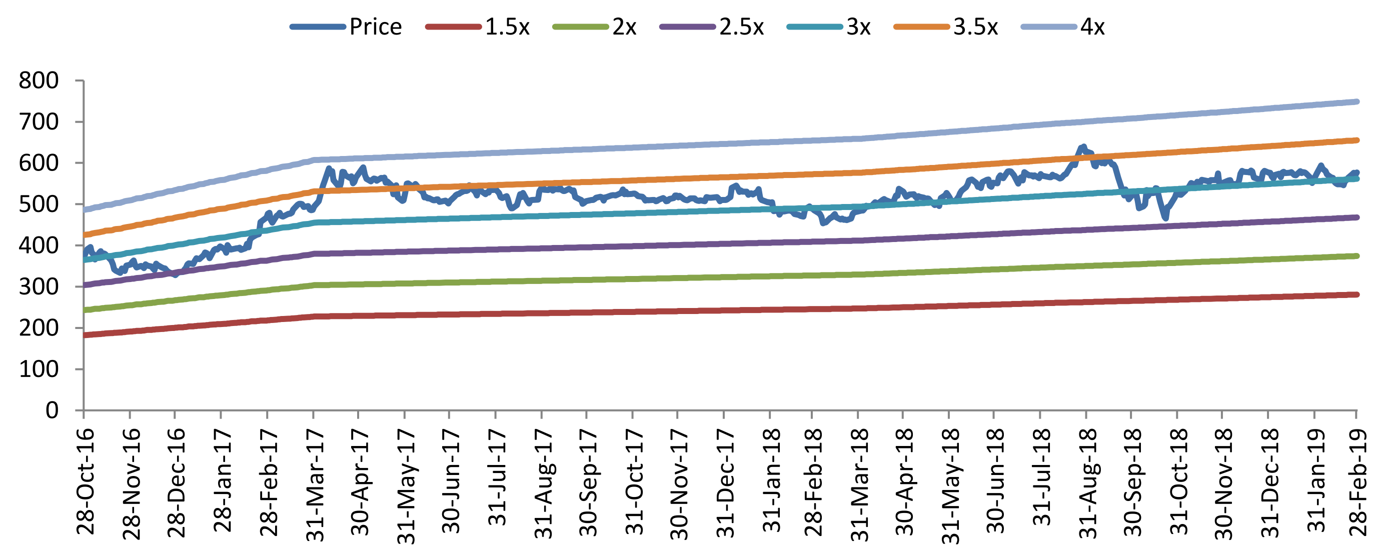
RBL Bank

RBL Bank, one of India's fastest growing private sector banks, offers specialized services under six business verticals, namely C&IB, Commercial Banking, Branch & Business Banking, Agribusiness Banking, DB&FI and Treasury & Financial Markets Operations. Bank has been increasing its presence across India through a growing network of branches, banking outlets and ATMs. In the last few years, bank has invested significantly in technology, network, human capital and risk management. Therefore, we believe the bank is well positioned to tap the strong growth opportunities available in the banking space due to the vacationing of space by impaired PSBs and now with the fluid state of the NBFC sector, private banks like RBL can broad-base their presence in the retail space and expand their loan portfolios.

Investment Rationale

- Diversified credit book; strong growth visible
- Asset Quality to Stabilize
- Strong operational performance to continue

P/BV 1 yr forward chart

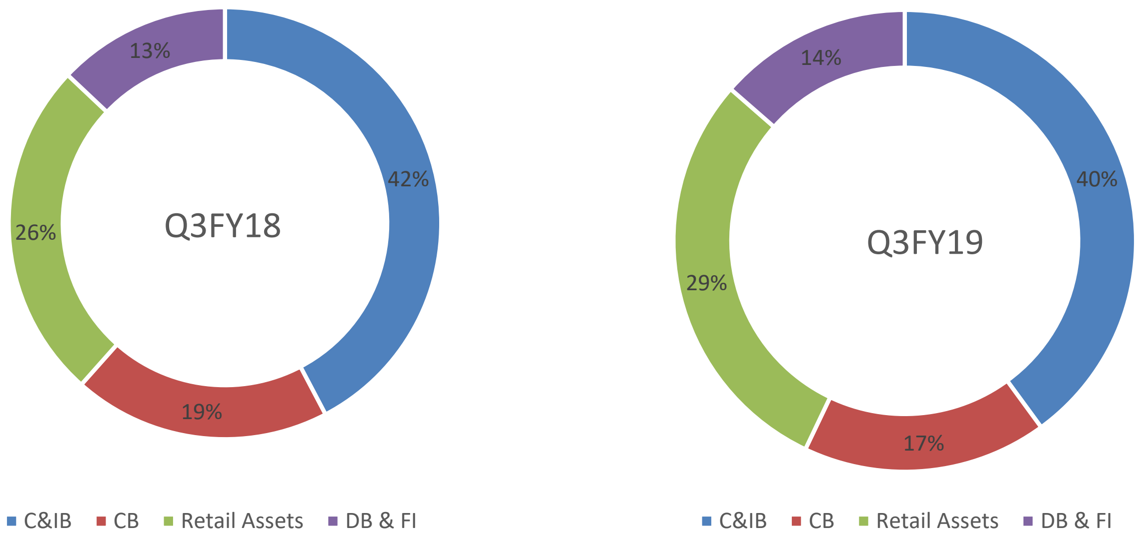


Source: D&B Research, Company

Diversified credit book; strong growth visible

RBL Bank has a diversified & granular suite of products in both wholesale & non-wholesale segments. After the new management came into the board in 2010, Bank has rebuilt its business model, and started concentrating on technology, human capital, superior risk management & corporate governance framework. In order to diversify loan portfolio and continue to maintain its growth momentum, Bank has adopted both organic and nonorganic strategies. In 2014, bank acquired Royal Bank of Scotland's (RBS') business banking, credit cards business & mortgage portfolio in India. The acquisition allows RBL to increase its scale of operations /geographical presence, launch new products (credit cards) and add an attractive customer segment to its existing service proposition.

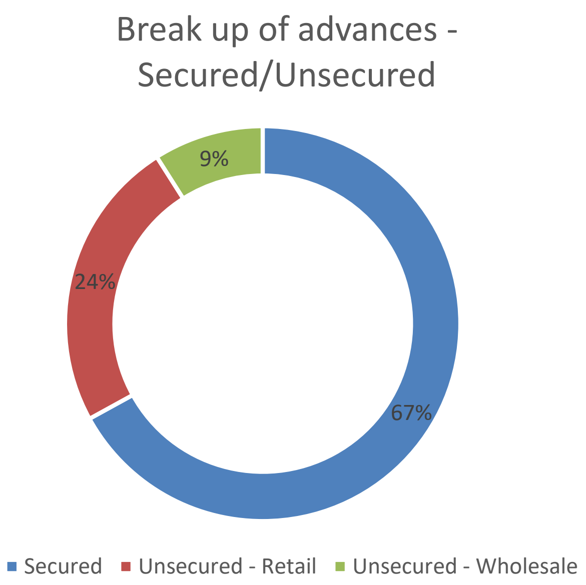
Advances Mix shift to higher yielding assets

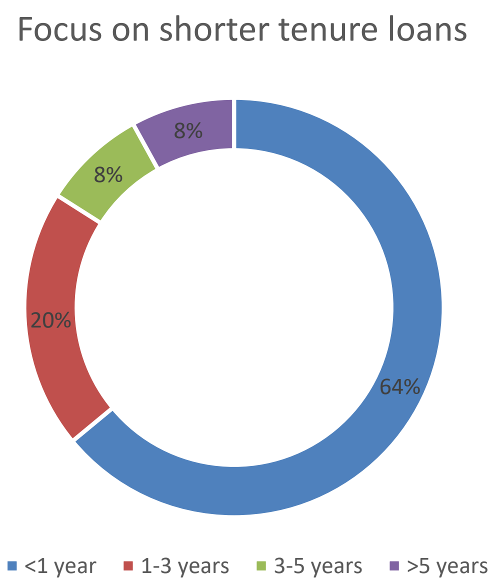


9M FY19	Yields
Wholesale (C&IB & CB)	8.8% (Vs 8.9% in 9M FY18)
Non-Wholesale (Retail Assets & DB & FI)	14.3% (Vs 13.0% in 9M FY18)

Source: D&B Research, Company

At Present, Bank has a well-diversified loan book with the share of wholesale advances stood at 57%, which are mostly secured, while Non-Wholesale book constitutes around 43% (over 30% secured, while unsecured portfolio includes cards and Microfinance, which are having relatively lower ticket size) of the total loans portfolio. In past four years, bank's Advances grew at a CAGR of 42% from Rs 9,835 Cr to Rs 40,267 Cr. Out of which, wholesale book grew at a CAGR of 40%, while non-wholesale book grew at a CAGR of 47%. Management is focused on growing the non-wholesale book at a faster pace, which will further diversify the loan book and reduce overall risk. We expect total advances to grow at CAGR of 33% in FY18-20E, which will be mainly driven by Card & MF segment.





Source: D&B Research, Company

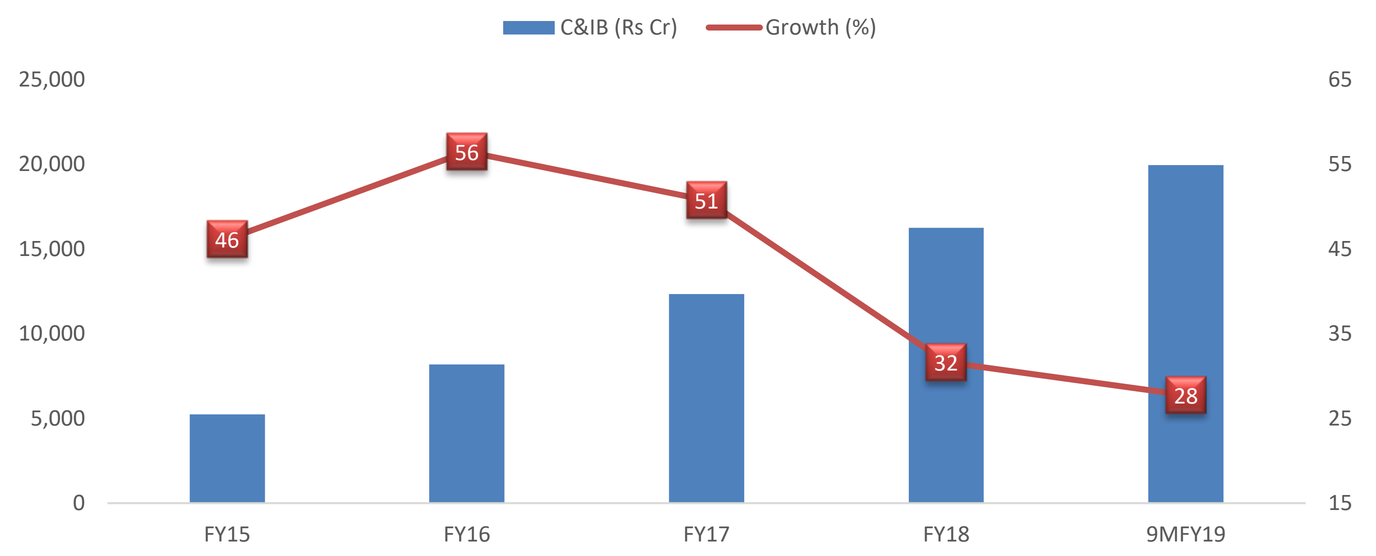
Bank has separate credit origination and appraisal processes for wholesale and retail segments. For its wholesale segment, Bank adopts underwriting standards for different client segments based on internal risk ratings, availability of security and other risk parameters. The retail segment relies largely on standardized product programmes for credit risk assessment and approvals.

Wholesale Advances

Corporate and Institutional Banking (contributes 40% of loan portfolio/ ATS - Rs 40 Cr)

This business segment caters to banking needs of large-sized corporations (i.e. companies with an annual turnover of over Rs 1500 Cr or gross block of over Rs 750 Cr). It grew at a 46% CAGR between FY14 and FY18, accounting for 40% of Bank's loan book as of March 31, 2018. Although spread in this segment is lower compared to other segments, RBL looks at these large corporate accounts as a link to generate retail (employees of large corporate) and SME (vendors and contractors) leads. Bank also cross-sells various other products & services like credit cards, life insurance products, general insurance products & mutual funds to the promoters and employees of these large corporates. As other businesses will grow comparatively faster, we expect the overall share of this segment to come down gradually.

C&IB: Growing Steadily



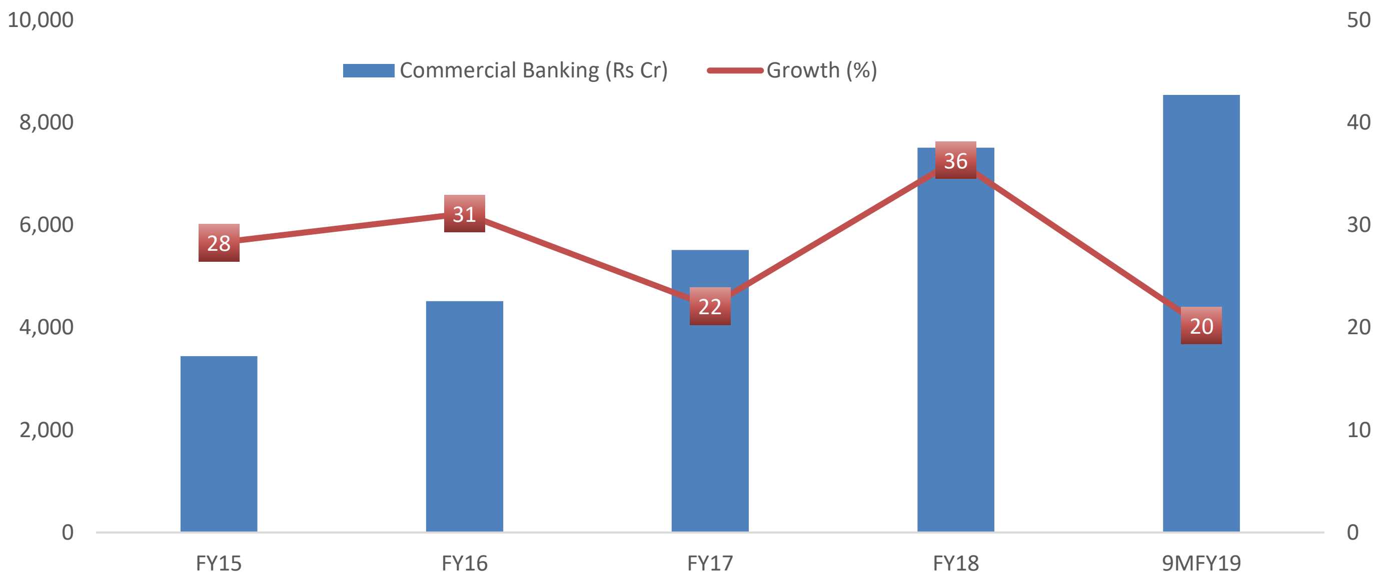
Source: D&B Research, Company

Bank is focusing on working capital lending, which is less dependent on capex cycle recovery as compared to project term lending (which mostly dependent on revival of capex cycle & concomitant greenfield projects emerging). Moreover, Bank follows a segmental approach and used its sector-specific expertise to identify clients and cater to its financing needs. The focus was on consumer centricity, high capital turnover and established businesses that have taken a balanced approach to growth. Further, bank's relationship managers provide individual coverage to the customers in this segment and lead teams of product specialists that provide solutions for such customers' banking needs. This helps to improve business volumes and enhances fee income through the sale of products such as letters of credit and guarantees as well as cash management products such as collections and remittances. Bank is continuously working on broadening its client reach by penetrating newer geographies and deepening its existing client relationships by offering value-added solutions.

Commercial Banking (contributes 17% of loan book/ mid-sized companies ATS around Rs 20-25 Cr & SMEs ATS Rs 10-12 Cr)

CB segment provides services to mid-sized companies (i.e. enterprises & companies with annual revenue from Rs 250 Cr to Rs 1,500 Cr) and SMEs (i.e. companies and firms with annual revenue from Rs 35 Cr to Rs 250 Cr). It grew at a 29% CAGR between FY14 and FY18, accounting for 19% of bank's loan book as of March 31, 2018. RBL has understood the importance of early-stage acquisition of better quality mid-sized companies. This segment will not only help the bank in terms of better margins but also allow it to be part of the success and growth of these promising companies. In the SME segment, where exposures are largely backed by significant collaterals, the strategy is to build a highly granular portfolio. It further aims to be the dominant player for all transaction banking requirements of these clients to achieve superior returns on capital invested.

Stable growth in CB segment



Source: D&B Research, Company

Furthermore, Bank has developed and maintained promoter level relationships in this segment to cross-sell products and services to promoters and their families & provide timely & comprehensive banking solutions. For this, bank has dedicated relationship managers with deep knowledge of the industry. These relationships have helped the Bank to stay ahead in terms of understanding client needs and supplement Bank's growth.

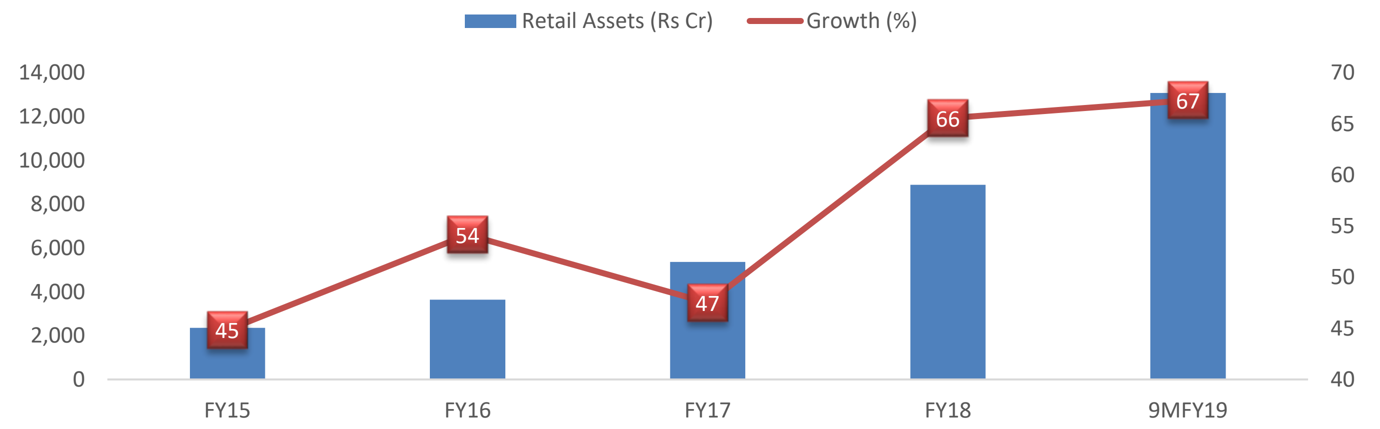
This segment aims to encourage competency in sectors, which involve intensive transaction banking and offer innovative financial solutions to capture the transaction banking wallet. In order to tap new customer segments and diversify its portfolio, bank will increase its sourcing channels, add new geographies and develop strong partnerships or form new strategic alliances. This includes collaborations with Fintech, payment companies and also with companies that have a large network of service points.

Non-Wholesale Advances

Retail Assets (contributes 29% of loan book)

This segment offers services like credit cards, deposits, payment solutions, consumer banking loans including loans against property, gold, personal, auto, educations and business loans. It is growing at a faster pace than all the other segments and its contribution to total loans increased to 29.4% in Q3FY19 as compared to 25.5% in Q3FY18. Out of which, Card business is showing a massive growth, with contribution to total loan portfolio increased from 4.8% in Q3FY18 to 9% in Q3FY19.

Solid growth in Retail Assets



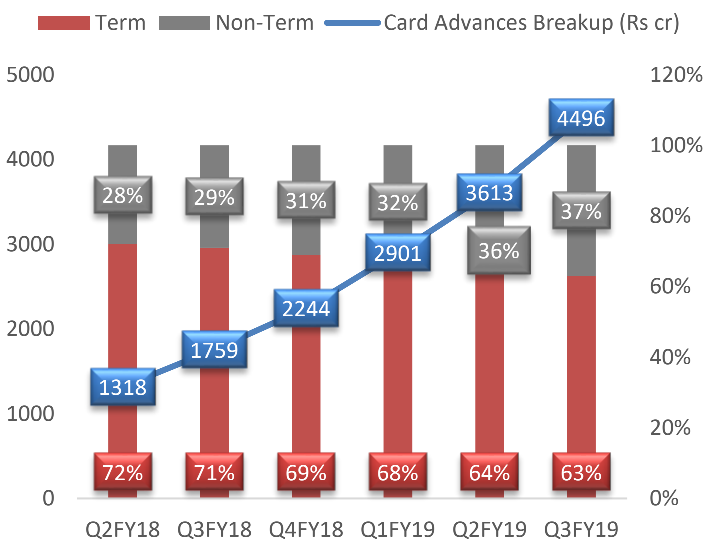
Source: D&B Research, Company

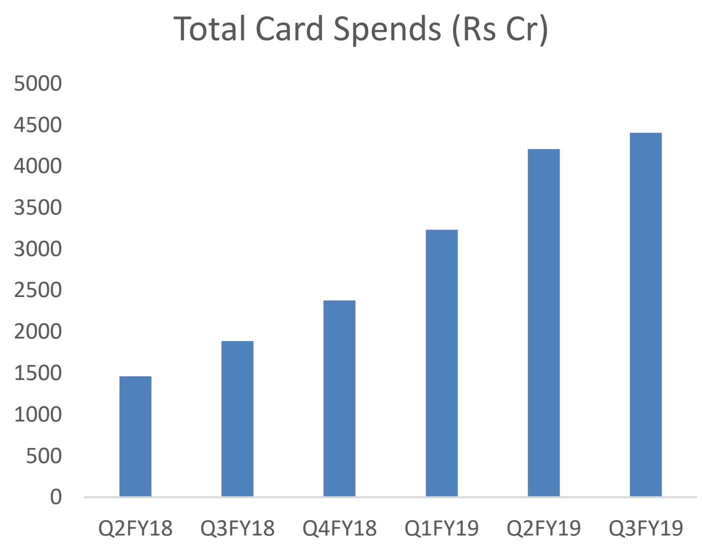
The segment has benefited from Bank's acquisition of Royal Bank of Scotland's (RBS') India-specific business banking, credit cards & mortgage portfolios in FY14. The acquisition not only allows RBL to expand its operations, but also inherit a highly skilled team of RBS employees with domain expertise in retail banking. Bank dilute its risks in the portfolio through product & segment diversification, decentralized credit model for MSMEs and technologically backed rule engine-based underwriting for products like cards and salaried personal loans.

Credit Card Business (contributes 9% of loan book/card base more than doubled to 1.2 Mn cards)

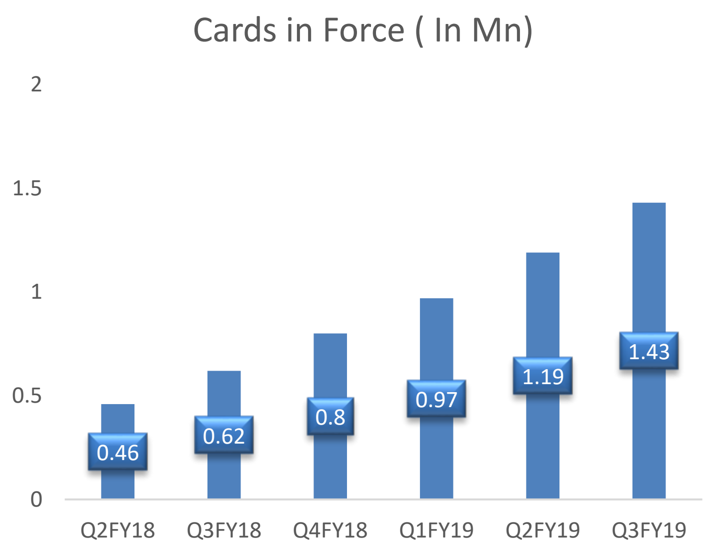
In a short span of time, RBL has increased its Credit Card business significantly (more than doubled in last one year to 1.43 million cards as on Dec 2018). Bank has a strategy for issuing cards with an annual fee, which not only increases the fee contribution, but also ensures higher customer engagement and retail spends making it the preferred card in the wallet. RBL Credit Card retail spends are among the top 5 in the industry with revenue as a percentage of spends being one of the highest. In order to increase its distribution reach, bank has partnered with Bajaj Finance to offer a range of co-branded credit cards with attractive features such as no-cost EMI options, easy borrowing rates and digital payment solutions. Bank is focusing on specific spends such as entertainment (tie-up with BookMyShow), travel and leisure rather than offer credit cards for generic purposes. Bank is targeting to be amongst the top five credit card payers in the next three years and tries to achieve 4 million plus cards by FY21E.

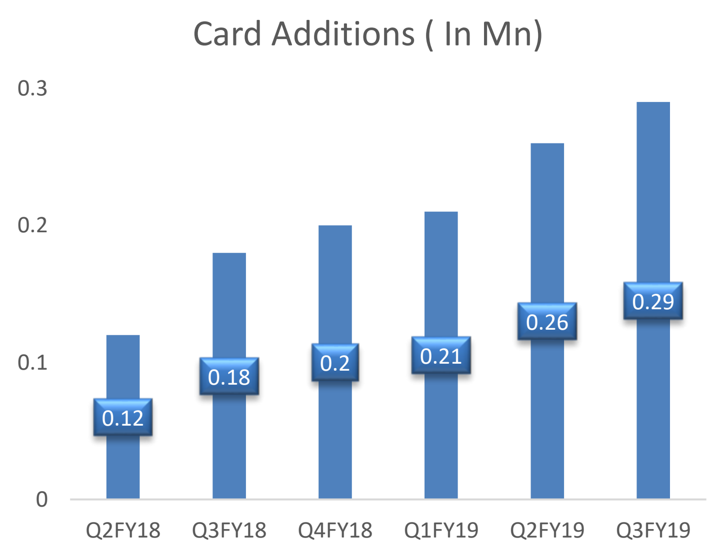
Credit Card Base Increasing Steadily





Source: D&B Research, Company





Key Metrics	Retail Spend Per Card	Balance per Card	Fee Income (as % of revenue)	Geographical Concentration (Top 8 Cities vs. Others)
Q3FY19	Rs 10,455	Rs 32,166	50%	69% : 31%

Source: D&B Research, Company

Loan against Property (contributes 11% of loan book/LTV 60-65%)

Loan against property (LAP) comprises secured loans extended to businesses with property as collateral. The customer segment is primarily SMEs wherein the customer eligibility is derived based on the cash flows of the business. Bank is looking to operate in the market between large private banks who offer lower rates and NBFCs who cater to lower customer segments with lower ticket sizes and higher interest rates. Under LAP portfolio, bank maintains LTV of 60-70% according to the rating of the concerned party. In Q3FY19, the loan book grew 49% YoY to Rs 5,659 Cr vs Rs 3,791 Cr in Q3FY18. In terms of delinquencies, LAP business continues to be stable with gross NPAs at 0.7% in Q3FY19, which has remained in this range for more than a year. This is primarily because of the business model adopted in terms of cash flow-based client assessment, selective on target customer segments, and choice of collateral with over 90% of all its collateral being self-occupied.

Retail Agri book (contributes 3% of loan book)

Agriculture market faced headwinds during FY18. The challenges were a result of diverse factors like farm loan waiver, demonetisation, sharp drop in some commodity prices, drought in a few areas of Maharashtra and Karnataka. As a conscious strategy, this business was put on a cautious growth path and its contribution to the Bank's total advances was brought down below 5% during FY 2017-18 vis-a-vis 7% in FY 2016-17. During Q3FY19, Retail-Agriculture book remains flat versus the previous quarter in absolute terms and declined YoY. Its overall contribution to the total book advances is now only 3%, which is in line with the bank's strategy to reduce the exposure until the market environment becomes more favorable. In terms of delinquencies, NPA increases in this segment led by the spate of farm loan waivers announcements in different states & customers stopping to pay their dues.

Development Banking & Financial Inclusion (contributes 14% of loan book):

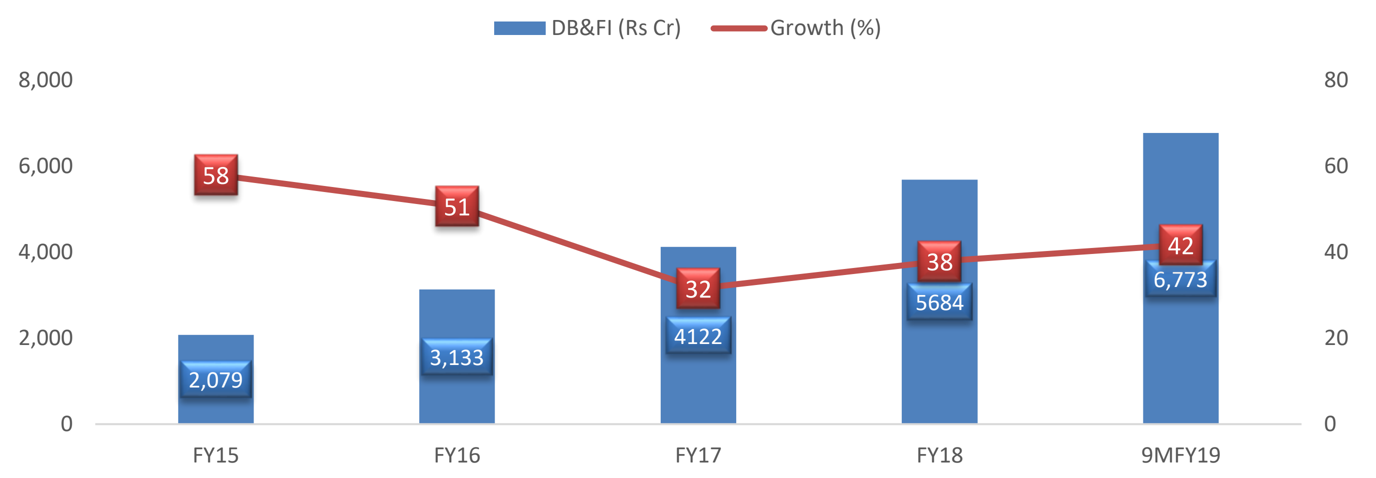
Under this segment, bank offers a full suite of liability & asset products to individuals with lower incomes in semi-urban & rural markets. The segment is broadly divided into three businesses i.e. Micro Banking, Institutional Financial Inclusion (IFI) and MSME. It grew at a 44% CAGR between FY14 and FY18, accounting for 14% of bank's loan book as at March 31, 2018. For this segment, bank has partnerships with business correspondents (BCs), fintech and remittance players, which played an important role in driving its growth in this segment. Going forward, share of DB&FI segment is expected to go up on the back of higher micro credit (direct / BCs) and microenterprise loans.

Recent quarter's performance

Rs (Cr)	Q3FY19	YoY (%)	QoQ (%)	Q2FY19	Q1FY19	Q4FY18	Q3FY18
Micro-banking	4,220	46.2	7.7	3917	3698	3560	2886
IFI	1,685	24.1	1.0	1669	1503	1543	1358
MSME	868	61.9	15.6	751	649	581	536
DB & FI	**6,773**	**41.7**	**6.9**	**6337**	**5850**	**5684**	**4780**

Source: D&B Research, Company

Maintain strong growth in DB&FI segment:

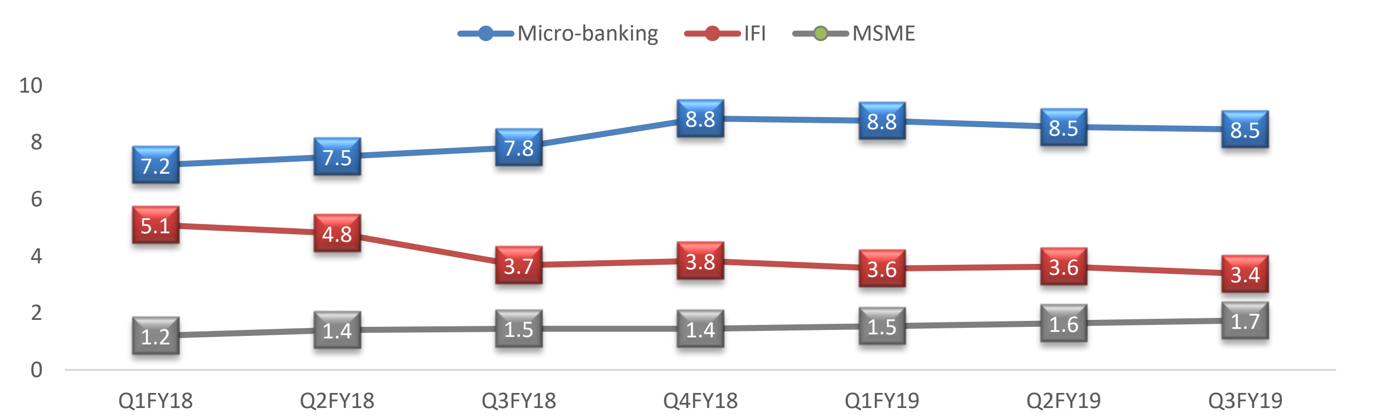


Source: D&B Research, Company

Micro-banking segment

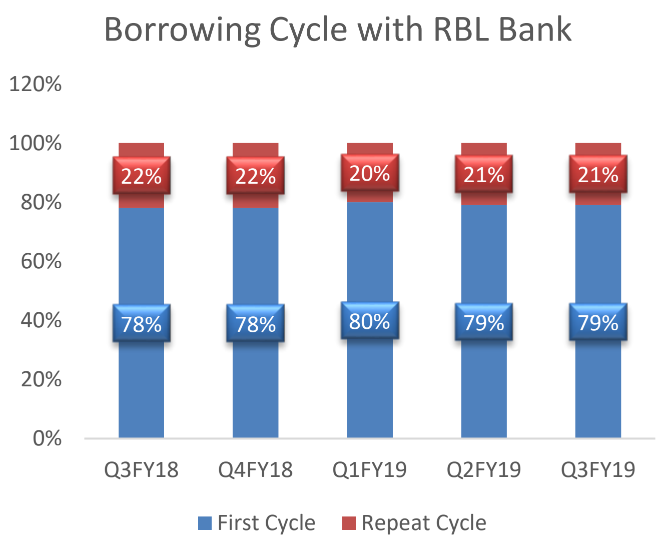
Micro-banking segment is showing healthy growth, with contribution to total loan portfolio increased from 7.8% in Q3FY18 to 8.5% in Q3FY19. Bank has learned its lesson from Andhra Pradesh MFI crisis in 2010 and the Demonetization of 2016, and formed geographical diversification strategy, under which no state will contribute more than 15% of the portfolio. 52% is contributed by the top four states- Bihar, Tamil Nadu, Maharashtra and Karnataka. In order to enhance the risk management framework, Bank is planning to put caps at the district level, which will further diversify its portfolio and dilute risks. Bank is also planning to increase its Micro-banking portfolio by adding 2 to 3 more states in the coming quarters (Incremental growth will come from customer addition, rather than an increase in the average ticket size).

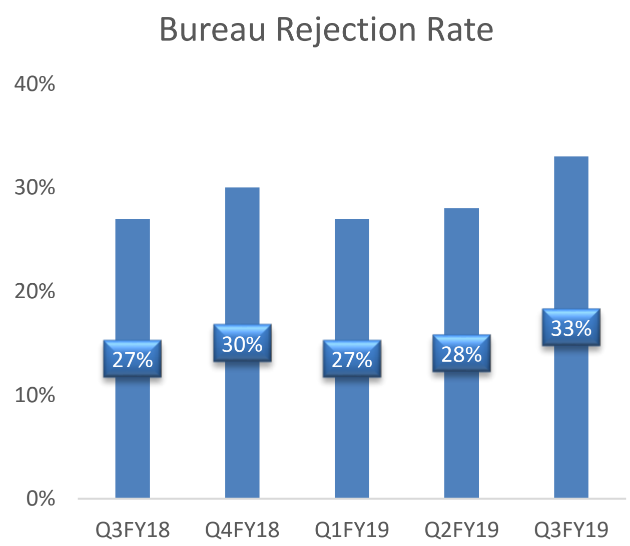
Overall share of Micro-banking increased



During Q3 FY19, the micro-banking business grew by 46% YoY, through its 9 BC partners. In terms of delinquencies, gross NPA in this segment is continuously declining and has reported the GNPA of 0.88% as on Q3 FY19 as compared to a peak GNPA of 5.17% as of December FY17. Going forward, Bank is expected to build some contingent provisions to counter event-specific risks.

Growth in volumes through new customers from newer geographies





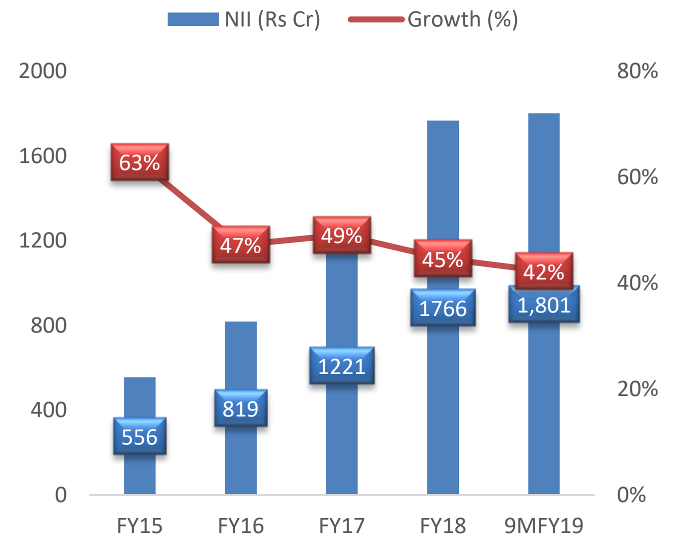
Source: D&B Research, Company

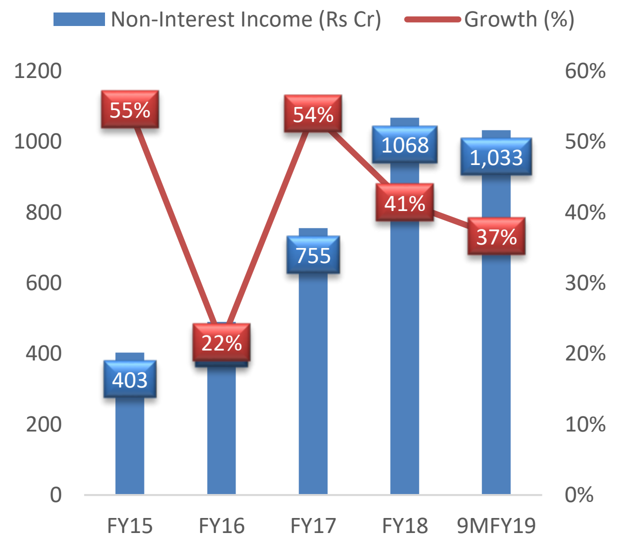
Robust operational performance

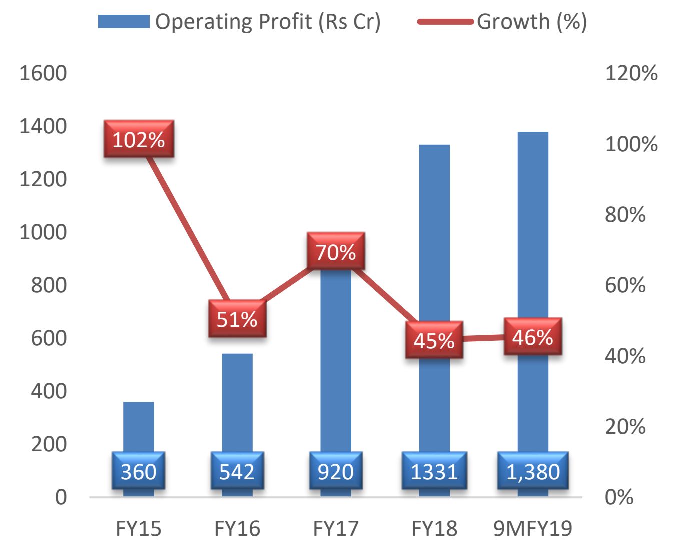
RBL is continuously improving its scale of operations and profitability. Despite the robust increase in operating expenses associated with the expansion of businesses & branch infrastructure, RBL's profitability was supported by strong loan growth, increasing share of non-interest income as well as the changing mix of advances towards high-yielding assets. Furthermore, its better operating efficiency was supported by stable margin, ability to maintain comfortable asset quality through cycles, high levels of fee income and comfortable capitalization levels.

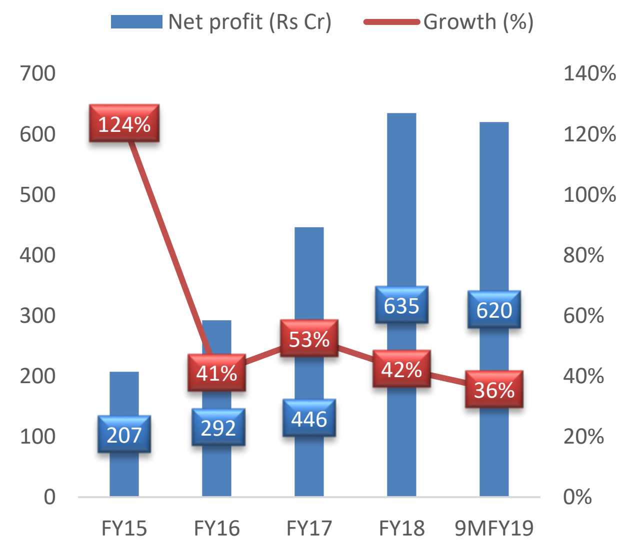
Bank's cost to income ratio is higher compared to many of its peer, as the bank continued to make substantial investments in branch expansion and information technology in order to meet its growth targets. Furthermore, Bank's operating expenses as a percentage of average assets increased to 2.7 % in FY18, as compared to 2.4% in FY17. Its number of branches increased to 288 in Q3 FY19 from 197 in FY16. Going word, Bank is planning to add around 60 to 70 branches in FY20, mainly in metro and urban areas. This Branch expansion will lead to sustained accretion in CASA. Going ahead also, healthy growth in loan book (33% CAGR in FY18-20E) is expected to continue along with margin improvement (due to changing mix of advances towards high-yielding assets). In turn, this is expected to lead to NII/PPoP/PAT CAGR of 35.3%/34.7%/36.1% over FY18-20E.

Operational Performance









Source: D&B Research, Company

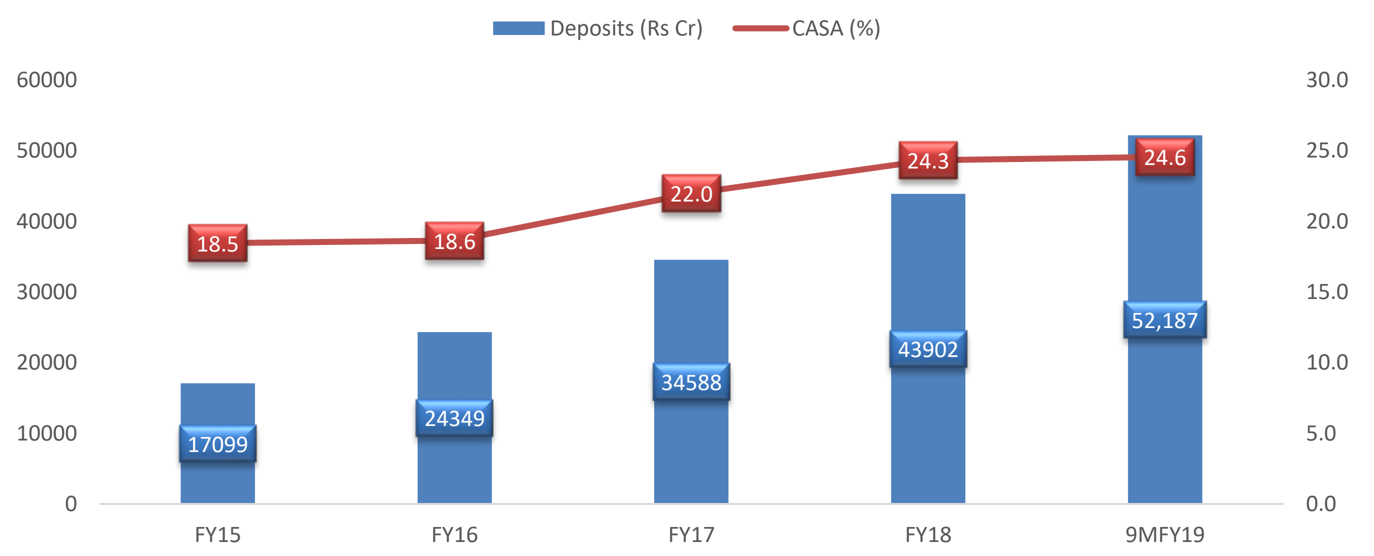
	FY14	FY15	FY16	FY17*	FY18*	9MFY19*
Cost to Income Ratio	70.3%	62.5%	58.6%	53.4%	53.0%	51.3%
Yield on Advances	12.9%	12.3%	11.7%	10.8%	10.5%	11.2%
Cost of Funds	9.4%	8.4%	7.6%	6.7%	6.2%	6.6%
Spread	3.5%	3.9%	4.1%	4.1%	4.3%	4.6%

*Source: D&B Research, Company (*last quarter's figure)*

Healthy Growth in Deposits

RBL bank has experienced strong growth in its deposit base in the last five years, with a compounded annual growth rate of 39%, while CASA grew little faster at around 45% during the same period. Bank offers higher rates of interest on SA deposits, which has led to robust SA accretion over the past five years (from ~6.4% to ~12.2%). Bank will continue to hold up rates as the mgt expects strong customer addition to continuing. It is also running a key pilot for sourcing SA customers from the pool of existing credit card clients.

Sustained Growth in Deposits, Led by CASA

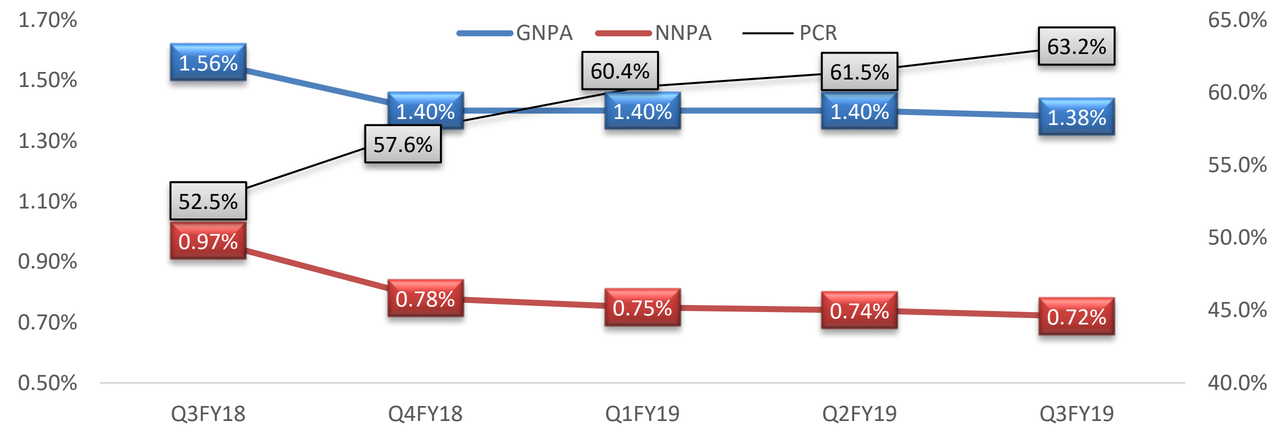


Source: D&B Research, Company

In order to continue retailization and granularity in its deposit, RBL has a branch opening strategy, focusing on states with higher per capita income and key economic centers. Furthermore, bank is also looking to expand its sourcing channels, adding digital and innovative alternatives to customer segments, penetrating newer geographies and form new strategic alliances that will enable the Bank to tap new customer segments and diversify its portfolio. This includes collaborations with Fintech, payment companies and with companies that have a large network of service points. Going forward, Bank is looking to increase CASA ratio around one percent every year. We expect that digital acquisition will contribute about 40% to 50% of new customer acquisition.

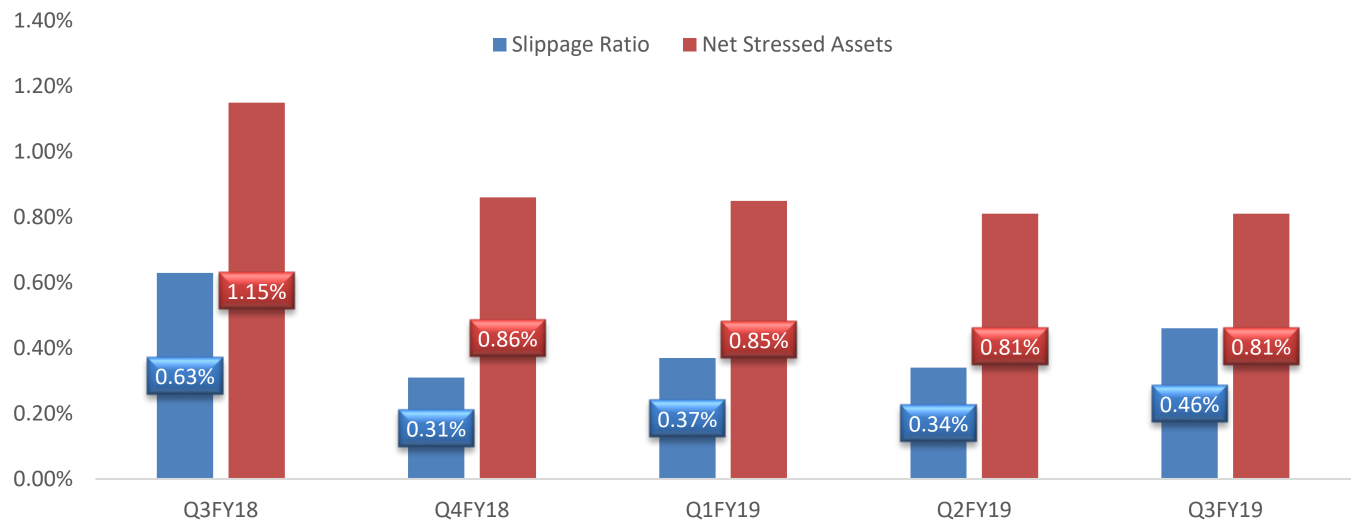
Asset Quality to Stabilize

RBL has a stable asset quality, with satisfactory provision and adequate capital, which are expected to fuel future growth. Bank's NPAs metrics moderately improved over the last one year, with its GNPA ratio at 1.38% in Q3FY19, (as compared with 1.56 % a year earlier). Standard restructured loans, including those under various debt restructuring schemes, represent 0.09% of bank's loan book.



Source: D&B Research, Company

Taking into account NPAs & restructured loans, the bank's Net stressed asset ratio was around 0.81% as of the end of Dec 2018.

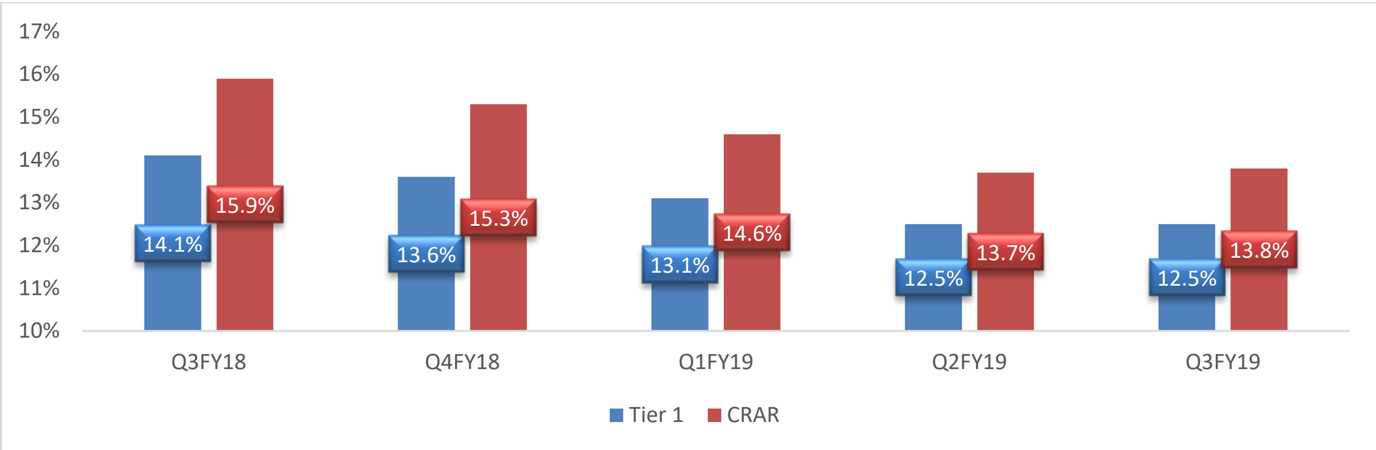


Source: D&B Research, Company

Although fresh slippages increased sequential to Rs 211 Cr Vs Rs 142 Cr in Q2FY19 (mainly came from non-wholesale segment); but it remain well within management comfort level. Bank's PCR has improved by 177 bps sequentially to 63.22%, and management plan to increase it further upto 65%. Bank is seeing some stress in Retail Agri portfolio due to general talk of farm loan waivers and poor farm gate prices. Accordingly, bank is keeping cautious approach on the same and contain this portfolio around 3% of total loan book (it is down 1% YoY to Rs 1,562 Cr in Q3).

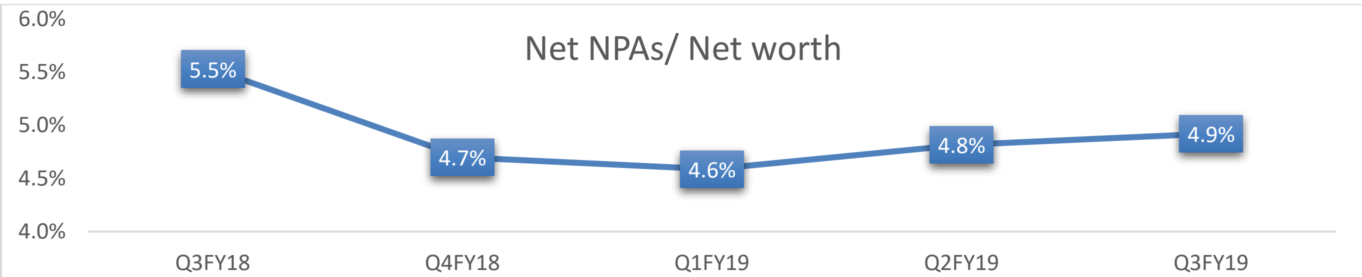
Capital adequacy

Despite the strong growth over the years, Bank is well-capitalized, due to sturdy internal accruals & capital raising at regular intervals. As on Dec 31, 2018, Bank's overall capital adequacy under Basel III remained comfortable at 13.8% (Tier I of 12.5%) as compared with 15.9% (Tier I at 14.1%) as on Dec 31, 2018. Bank has had a proven track record to raise capital and long-term funding, necessary to sustain growth and expansion in network. It has raised capital (both equity & other forms of capital) at appropriate times. With quarterly capital consumption of ~40-50 bps of Tier I, we expect the Bank to raise capital in next financial year.



Source: D&B Research, Company

The solvency remained healthy and was better than the industry average with net NPAs/net worth of 4.9% in Q3FY19 (5.5% in Q3FY18).

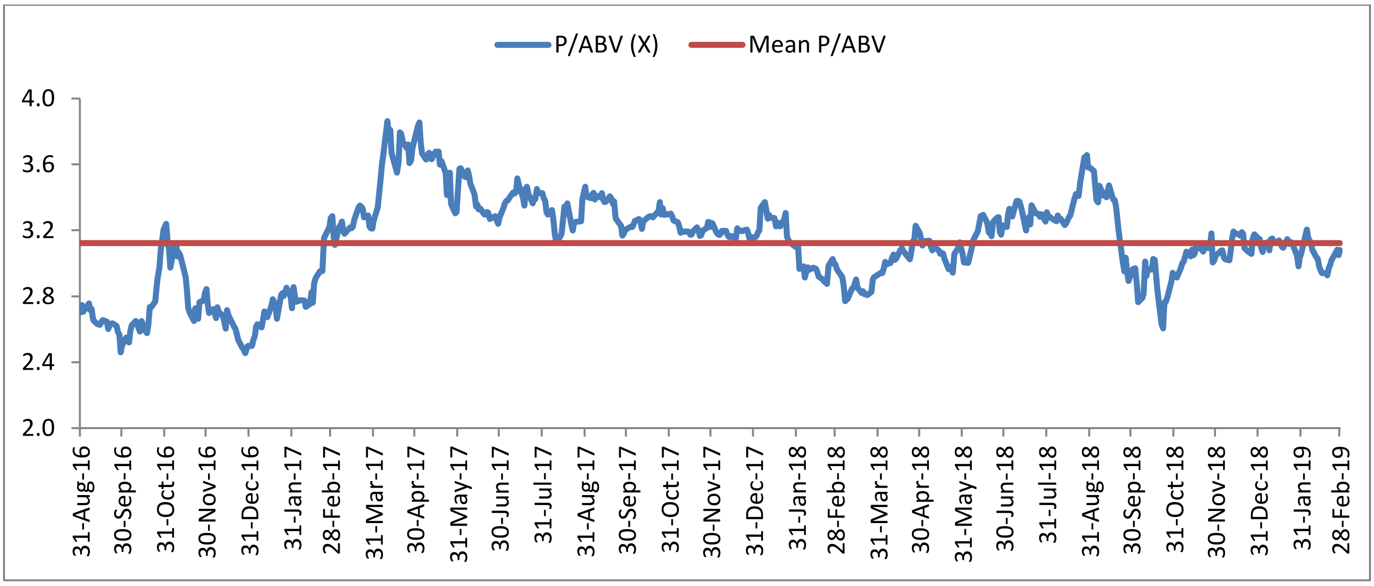


Source: D&B Research, Company

Valuation & Outlook

We believe that bank's stable asset quality, strong liability franchisee, healthy fee income growth and bank's ability to deliver strong earnings would benefit bank to deliver strong sustainable performance and capitalize on emerging opportunities. We expect total business to grow at CAGR 30% in FY18-20E, with growth in advances and deposits at ~33% and ~28% respectively. In turn, this is expected to lead to NII/PPoP/PAT CAGR of 35.3%/34.7%/36.1% over FY18-20E. At CMP the stock trades at 3.5x its FY19E ABV & 3.1x its FY20E ABV. We maintain our accumulate rating on the stock with P/ABV multiple of 3.4x on FY20E book value to arrive target price to Rs 636 per share.

P/BV 1 yr forward vs. Mean P/BV chart



Source: D&B Research, Company

Quarterly snapshot

Financials (Rs Cr)	Q3 FY19	YoY (%)	QoQ (%)	Q2 FY19	Q1 FY19	Q4 FY18	Q3 FY18	Q2 FY18	Q1 FY18
Interest Earned	1,639	42	12	1463	1364	1223	1151	1091	1043
Interest Expended	984	44	13	870	812	722	684	671	664
NII	**655**	**40**	**10**	**593**	**553**	**500**	**467**	**420**	**378**
Other Income	374	45	12	333	326	312	258	241	257
Total Income	**2,013**	**43**	**12**	**1797**	**1690**	**1535**	**1409**	**1332**	**1300**
Operating Expenses	531	35	11	477	446	429	392	358	324
-Employees Exp	164	14	9	151	153	131	144	144	133
-Other Operating Exp	367	48	12	326	293	299	248	215	191
PPoP (Pre-provision operating profit)	**498**	**49**	**11**	**449**	**432**	**383**	**333**	**303**	**311**
Provisions and Contingencies	161	95	15	140	140	113	82	75	94
PBT	**338**	**35**	**9**	**309**	**292**	**270**	**251**	**228**	**217**
Tax	113	31	7	105	102	92	86	78	76
PAT (Net Profit)	**225**	**36**	**10**	**205**	**190**	**178**	**165**	**151**	**141**
Earnings Ratios									
NIM (%)	4.12	23 bps	4 bps	4.08	4.04	3.98	3.89	3.74	3.54
ROA (%)	1.27	5 bps	1 bps	1.26	1.26	1.25	1.22	1.19	1.19
ROE (%)	12.38	217 bps	80 bps	11.58	11.16	10.9	10.21	10.49	12.68
Efficiency Ratios									
GNPA (%)	1.38	(18 bps)	(2 bps)	1.40	1.40	1.40	1.56	1.44	1.46
NNPA (%)	0.72	(25 bps)	(2 bps)	0.74	0.75	0.78	0.97	0.78	0.81
PCR (%)	63.2	1068 bps	(177 bps)	61.5	60.4	57.6	52.5	58.3	58.0
C/I ratio (%)	51.6	(248 bps)	(5 bps)	51.5	50.8	52.8	54.0	54.2	51.0
CASA (%)	24.6	54 bps	(6 bps)	24.5	24.4	24.3	24.0	23.7	22.1
Wholesale (%)	57	(449 bps)	(207 bps)	59	59	59	62	61	61
Non-Wholesale (%)	43	(449 bps)	(207 bps)	41	41	41	38	39	39
Other Ratios									
Yield on Advances	11.2	80 bps	30 bps	10.9	10.8	10.5	10.4	10.6	10.6
Cost of deposits	6.8	60 bps	40 bps	6.4	6.4	6.2	6.2	6.4	6.7
Cost of Funds	6.6	20 bps	(10 bps)	6.7	6.6	6.5	6.4	6.6	6.5

RBL Bank

P&L (Rs Cr)	FY17	FY18	FY19E	FY20E
Interest Earned	3713	4508	6036	7972
Interest Expended	2492	2741	3593	4737
NII	1221	1766	2444	3235
Other Income	755	1068	1393	1774
Total Income	4469	5576	7430	9746
Operating Expenses	1056	1503	1980	2595
-Employees Exp	446	551	661	787
-Other Operating Exp	610	953	1319	1808
PPoP (Operating Profit before Prov)	920	1331	1857	2415
Provisions and Contingencies	239	365	573	623
PBT	681	967	1284	1792
Tax	235	331	442	616
PAT (Net Profit)	446	635	842	1176

Balance sheet (Rs Cr)	FY17	FY18	FY19E	FY20E
Capital +	375	420	425	425
Reserves and Surplus +	3960	6264	6984	8000
Deposits +	34588	43902	55999	72006
Borrowings +	7980	9261	10235	11486
Other Liabilities	1771	2003	2765	3619
TOTAL	**48675**	**61851**	**76409**	**95536**
ASSETS				
Cash & Bank	4194	4284	3709	4315
Investments +	13482	15447	16596	17580
Advances +	29449	40268	53838	70921
Fixed Assets +	259	334	418	537
Other Assets +	1292	1517	1847	2182
TOTAL	**48675**	**61851**	**76409**	**95536**

Ratios (%)	**FY17**	**FY18**	**FY19E**	**FY20E**
	Growth			
NII	49	45	38	32
Operating profit	70	45	40	30
Net profit	53	42	33	40
	Returns			
ROE	12.2	11.5	11.9	14.9
ROA	1.0	1.1	1.2	1.4
	Asset quality			
GNPA	1.2	1.4	1.4	1.3
NNPA	0.6	0.8	0.8	0.7

Ratios (%)	**FY17**	**FY18**	**FY19E**	**FY20E**
Advance Yield	10.4	9.8	10.3	10.7
Cost of funds	6.4	5.7	6.0	6.3
NIM	3.1	3.6	3.9	4.1
C/I ratio (%)	53	53	52	52
CASA (%)	22	24	26	27
EPS (Rs)	12	15	20	28
P/E (X)	49	38	29	21
ABVPS (Rs)	110	152	165	187
P/ABV (X)	5.2	3.8	3.5	3.1

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